

CITI'S TAKE

TSMC reported an upbeat 1Q26 earnings with GM/OPM at 66.2%/58.1% and net profit of NT\$572.5bn (up 58% YoY, 13% QoQ). TSMC also guides a strong 10% QoQ sales growth with stable GM/OPM at 66.5%/57.5% (mid-point) in 2Q26. Thanks to strong demand in AI and advanced node, TSMC now expects its 2026 YoY revenue growth to be higher than 30% YoY growth (vs previous guidance nearing 30%) and also expects 2026 capex to be in the high-end of the guidance of US\$52-56bn. Even though the management highlighted potential negative factors for GM including N2 dilution, rising materials cost, rising overseas expansion, etc. in 2H26, given its strong execution and cross-node leverage, we foresee solid earnings upward trend.

Tightness in advanced node to continue — Management highlighted how TSMC is adopting its broader manufacturing and packaging strategy to support future demand. **For N3**, it has new N3 capacity in Tainan targeted for 1H27, Arizona P2 in 2H27, and Japan P2 in 2028. TSMC is also reallocating N5 tools to N3 and optimizing cross-node scheduling across N7, N5, and N3. **For N2**, TSMC is expanding in both Hsin Chu and Kaohsiung and we expect the capacity to double this year and next year (see [AI megacycle accelerates](#)). On advanced packaging, management reiterated that large-size CoWoS remains the current priority, while CoPoS is under development with a pilot line already being built and volume production expected in the next couple years. The company also acknowledged that advanced packaging capacity remains tight and that it is working with OSAT partners to expand supply.

Rising competition? “there is no short cut” — TSMC reiterates its long-term edge still rests on its combination of technology leadership, manufacturing execution, packaging capability, and customer trust. Even as customers or competitors explore their own manufacturing paths, management made it clear that there is no shortcut in semiconductor foundry industry, and TSMC remains highly confident in its ability to capture long-term AI and advanced computing growth.

Reiterate Buy on solid outlook — As it takes 2-3 years for advanced node capacity built and much higher complexity of the process design, TSMC has been working closely with its customers to identify demand outlook. Along with the long lead time AI infrastructure development, it is confident in its long term outlook and we believe a healthy capacity intensity considering even stronger revenue growth in the next few years. We lift our earnings projection by 5.5% for this year on better revenue and GM outlook and keep it largely unchanged for 2027/2028. Reiterate Buy with TP raised slightly to NT\$2,875 (from NT\$2,800 previously).

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Dec	(NT\$M)	(NT\$)	(%)	(x)	(x)	(%)	(%)
2024A	1,173,268	45.24	39.9	46.1	12.6	30.3	0.7
2025A	1,717,883	66.24	46.4	31.5	10.0	35.4	0.9
2026E	2,563,456	98.85	49.2	21.1	7.4	40.4	1.3
2027E	3,410,850	131.52	33.1	15.9	5.7	40.6	2.1
2028E	4,263,281	164.39	25.0	12.7	4.4	38.9	2.6

Source: Powered by dataCentral

2330.TW: Fiscal year end 31-Dec						Price: NT\$2,085.00; TP: NT\$2,875.00; Market Cap: NT\$54,069,313m; Recomm: Buy					
Profit & Loss (NT\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	2,894,308	3,809,054	5,253,452	7,071,349	8,762,189	PE (x)	46.1	31.5	21.1	15.9	12.7
Cost of sales	-1,269,954	-1,527,760	-1,811,170	-2,505,095	-3,075,722	PB (x)	12.6	10.0	7.4	5.7	4.4
Gross profit	1,624,354	2,281,294	3,442,282	4,566,254	5,686,467	EV/EBITDA (x)	26.7	19.9	13.1	9.9	7.7
Gross Margin (%)	56.1	59.9	65.5	64.6	64.9	FCF yield (%)	1.8	2.2	2.5	4.5	6.1
EBITDA (Adj)	1,984,850	2,624,188	3,931,270	5,150,214	6,401,563	Dividend yield (%)	0.7	0.9	1.3	2.1	2.6
EBITDA Margin (Adj) (%)	68.6	68.9	74.8	72.8	73.1	Payout ratio (%)	31	27	28	33	33
Depreciation	-662,797	-688,096	-946,363	-1,203,501	-1,483,358	ROE (%)	30.3	35.4	40.4	40.6	38.9
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	1,322,053	1,936,092	2,984,907	3,946,713	4,918,205	EBITDA	1,984,850	2,624,188	3,931,270	5,150,214	6,401,563
EBIT Margin (Adj) (%)	45.7	50.8	56.8	55.8	56.1	Working capital	68,257	27,877	-455,087	-30,215	-60,205
Net interest	67,781	86,206	99,885	160,216	215,053	Other	-147,949	-215,723	-421,452	-535,863	-654,923
Associates	828	2,546	2,000	2,000	2,000	Operating cashflow	1,905,157	2,436,342	3,054,732	4,584,136	5,686,435
Non-Op/Except/Other Adj	15,176	16,819	25,166	35,357	43,811	Capex	-956,007	-1,272,411	-1,725,763	-2,150,000	-2,400,000
Pre-tax profit	1,405,839	2,041,663	3,111,959	4,144,285	5,179,068	Net acq/disposals	74,369	122,881	140,206	88,926	-330,102
Tax	-233,407	-326,266	-549,476	-735,652	-918,557	Other	0	0	0	0	0
Extraord./Min.Int./Pref.div.	836	2,486	973	2,217	2,770	Investing cashflow	-881,638	-1,149,530	-1,585,557	-2,061,074	-2,730,102
Reported net profit	1,173,268	1,717,883	2,563,456	3,410,850	4,263,281	Dividends paid	-363,055	-466,779	-716,556	-1,127,769	-1,417,854
Net Margin (%)	40.5	45.1	48.8	48.2	48.7	Financing cashflow	-313,242	-590,737	-668,609	-1,083,140	-1,355,192
Core NPAT	1,173,268	1,717,883	2,563,456	3,410,850	4,263,281	Net change in cash	627,147	615,273	709,637	1,348,993	1,510,211
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	949,151	1,163,931	1,328,969	2,434,136	3,286,435
Reported EPS (\$)	45.24	66.24	98.85	131.52	164.39						
Core EPS (\$)	45.24	66.24	98.85	131.52	164.39	Rev breakdown by node	2024	2025	2026E	2027E	2028E
DPS (\$)	14.00	18.00	27.63	43.49	54.67	FinSumm - Time Series data item 3	na	na	na	na	na
CFPS (\$)	73.46	93.95	117.79	176.77	219.27	2nm (%)	0	0	14	29	na
FCFPS (\$)	36.60	44.88	51.25	93.86	126.73	3nm (%)	20	25	29	30	na
BVPS (\$)	165.37	208.98	280.20	368.24	477.96	5nm (%)	33	37	28	23	na
Wtd avg ord shares (m)	25,934	25,933	25,933	25,933	25,933	10/7nm (%)	18	15	13	9	na
Wtd avg diluted shares (m)	25,934	25,933	25,933	25,933	25,933	16/20nm (%)	8	7	5	3	na
Growth rates	2024	2025	2026E	2027E	2028E	21nm to 32nm (%)	8	7	5	3	na
Sales revenue (%)	33.9	31.6	37.9	34.6	23.9	33nm to 45nm (%)	3	2	2	1	na
EBIT (Adj) (%)	43.5	46.4	54.2	32.2	24.6	46nm to 65nm (%)	3	2	2	1	na
Core NPAT (%)	39.9	46.4	49.2	33.1	25.0	66nm to 90nm (%)	1	1	1	0	na
Core EPS (%)	39.9	46.4	49.2	33.1	25.0	0.10u to 0.13u (%)	1	1	0	0	na
Balance Sheet (NT\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	2,127,627	2,767,856	3,370,288	4,567,293	5,868,991	Rev brkdn by geography	2024	2025	2026E	2027E	2028E
Accounts receivables	272,088	281,791	582,266	691,824	879,972	N. America (%)	70	na	na	na	na
Inventory	287,869	288,109	428,376	507,275	643,042	Asia-Pacific (%)	10	na	na	na	na
Net fixed & other tangibles	3,235,771	3,691,841	4,524,195	5,618,469	7,157,885	China (%)	11	na	na	na	na
Goodwill & intangibles	0	0	0	0	0	EMEA (%)	3	na	na	na	na
Financial & other assets	769,374	903,426	1,126,006	1,261,332	1,490,863	Japan (%)	5	na	na	na	na
Total assets	6,692,729	7,933,024	10,031,132	12,646,193	16,040,753						
Accounts payable	74,227	84,330	113,188	137,050	169,985						
Short-term debt	59,858	136,926	182,927	223,123	280,244						
Long-term debt	958,429	896,062	896,062	896,062	896,062						
Provisions & other liab	1,275,849	1,354,911	1,530,287	1,795,993	2,252,299						
Total liabilities	2,368,362	2,472,229	2,722,464	3,052,228	3,598,590						
Shareholders' equity	4,288,545	5,419,596	7,266,496	9,549,576	12,395,003						
Minority interests	35,031	41,199	42,172	44,389	47,159						
Total equity	4,323,576	5,460,795	7,308,668	9,593,965	12,442,162						
Net debt (Adj)	-1,109,340	-1,734,869	-2,291,299	-3,448,108	-4,692,685						
Net debt to equity (Adj) (%)	-25.7	-31.8	-31.4	-35.9	-37.7						

For definitions of the items in this table, please click [here](#).

Structural GM expansion on improving mix

Management attributed the upside in gross margin mainly to better cost improvement, stronger fab utilization, and a favorable foreign exchange. From a business mix perspective, leading-edge technologies remained the core driver, with 3nm contributing 25% of wafer revenue and 5nm contributing 36%, while HPC accounted for 61% of total revenue and smartphones 26%. In other words, AI and HPC continue to be the dominant growth engines, more than offsetting the seasonal decline in smartphones and softer consumer-facing end demand. This result further confirms that TSMC is still one of the clearest beneficiaries of structural AI demand, not only through revenue growth but also through mix upgrade and better profitability.

Reiterate Buy with higher TP NT\$2,875

Thanks to TSMC's promising earnings outlook, and structural GM expansion, we lift our earnings projection by 5.5% for this year and keep it largely unchanged for 2027/2028 on better revenue and GM outlook. Reiterate Buy on TP NT\$2,875, based on our unchanged 25x PER of our 2026/2027 EPS.

TSMC earnings call recap

■ 2Q26 guidance

- Sales: US\$39.0–40.2bn (+10% QoQ at the mid-point)
- GPM: 65.5–67.5% (assuming USDTWD=31.7)
- OPM: 56.5–58.5%

■ 2026 full-year & long-term guidance

- **Full year sales:** raise 2026 full-year USD-based sales guidance to be **more than 30% growth**
- **Full year capex:** now expecting 2026 capex to be toward the high-end of US\$52–56bn (70–80% advanced process, 10% specialty, 10–20% for advanced packaging, testing and masks)
- **GM outlook**
 - N3 GM to improve to reach corporate's average in 2H26; GM dilution from N2 ramping to be 2–3ppt for this year
 - Continued productivity improvement, UTR enhancement and optimizing capacity allocation to support GM outlook
 - Oversea fabs expansion to impact GM by 2–3ppts in early stage and 3–4ppts in later stage

■ Long-term outlook

- **5-year AI sales CAGR** (2024–2029) to be at mid-to high-50%
- **GM** to be 56% and higher is achievable, **ROE** at high-20% at current cycle

■ N3/N2/A16 process node development

- Given the very strong demand, it is building 3 new N3 fabs (one in Tainan for volume production in 1H27; one in US AZ (phase 2) for volume production in 2H27; one in Japan (phase 2) for volume production in 2028)
- Compared to N3, N2 would be a bigger node with better power efficiency. N2's structural GM profile is higher than N3. N2's volume production has started in 4Q25.
- Compared to N2, A14 features 10-15% faster speed, 25-30% power efficiency, 20% transistor intensity increase

■ 1Q26 sales mix by node

- 3nm: 25% (vs. 28% in 4Q25)
- 5nm: 36% (vs. 35% in 4Q25)
- 7nm: 13% (vs. 14% in 4Q25)
- Advanced node (<7nm): 74% (vs. 77% in 4Q25)

■ 1Q26 sales by applications

- HPC (61% of sales), +20 QoQ
- Mobile (26%), -11% QoQ
- IoT (6%), +12% QoQ
- Auto (4%), -7% QoQ
- DCE (1%), +28% QoQ

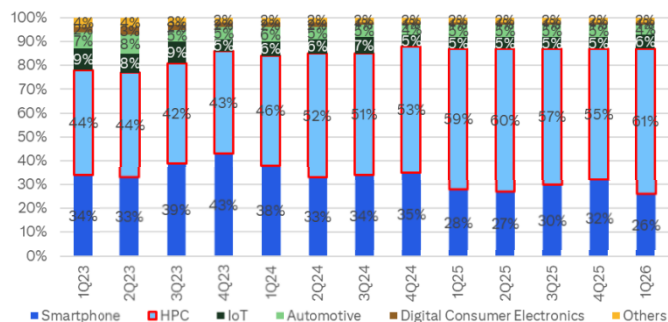
Figure 1. TSMC – 1Q26 results comparison

(NT\$mn)	1Q26			1Q26	1Q26			1Q26	Diff.	2Q26		Citi	Cons
	Actual	Actual	Q/Q		Guidance	Citi	Diff.			Cons	Diff.		
Revenue	1,134,103	1,046,090	8%	US\$34.6 - 35.8bn	1,109,103	2%	1,123,220	1%	US\$39.0 - 40.2bn	1,147,877	1,205,622		
Gross profit	751,295	651,987	15%		713,463	5%	724,016	4%		745,377	773,105		
Gross margin	66.2%	62.3%	+3.9 ppt	63- 65%	64.3%	+1.9 ppt	64.5%	+1.8 ppt	65.5- 67.5%	64.9%	64.1%		
Op. profit	658,966	564,902	17%		611,675	8%	623,816	6%		636,174	665,892		
OP margin	58.1%	54.0%	+4.1 ppt	54- 56%	55.2%	+3.0 ppt	55.5%	+2.6 ppt	56.5- 58.5%	55.4%	55.2%		
Net income	572,480	505,744	13%		532,780	7%	540,200	6%		552,484	572,997		
EPS (NT\$)	22.08	19.50	13%		20.54	7%	20.89	6%		21.30	22.18		

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Source: Citi Research, Bloomberg

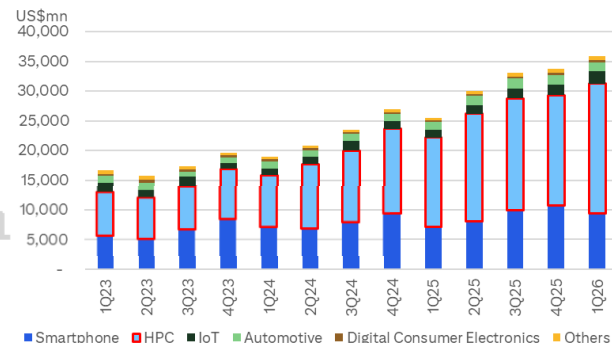
Figure 2. TSMC – Sales Mix by Platform



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Source: Citi Research

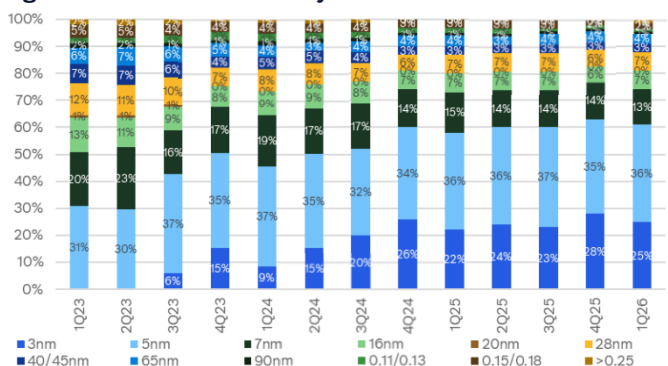
Figure 3. TSMC – Sales by Platform



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Source: Citi Research

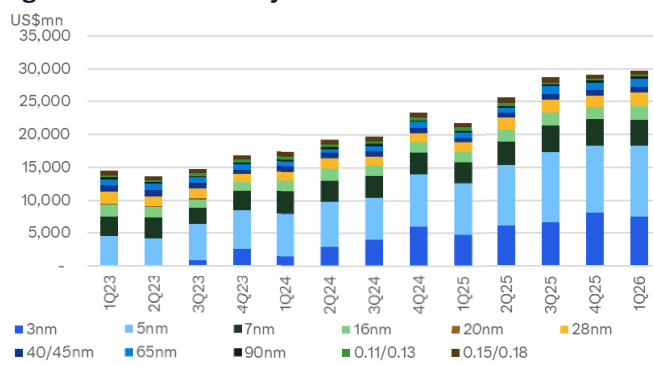
Figure 4. TSMC – Sales Mix by Node



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Source: Citi Research, company data

Figure 5. TSMC – Sales by Node



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Source: Citi Research, company data

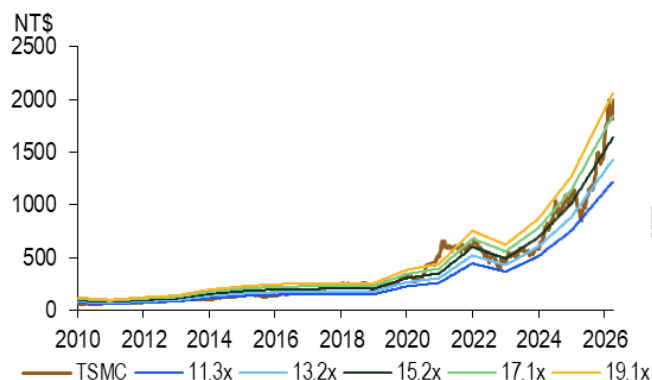
Figure 6. TSMC – Estimates Revisions

(NT\$mn)	2026E			2027E			2028E		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	5,253,452	5,118,039	2.6%	7,071,349	6,949,812	1.7%	8,762,189	8,656,435	1.2%
YoY growth	37.9%	34.4%		34.6%	35.8%		23.9%	24.6%	
Gross profit	3,442,282	3,258,457	5.6%	4,566,254	4,493,379	1.6%	5,686,467	5,679,877	0.1%
Opex	457,375	457,728	-0.1%	619,541	604,262	2.5%	768,263	753,416	2.0%
Operating profit	2,984,907	2,800,728	6.6%	3,946,713	3,889,118	1.5%	4,918,205	4,926,461	-0.2%
Pre-tax profit	3,111,959	2,926,718	6.3%	4,144,285	4,081,758	1.5%	5,179,068	5,182,835	-0.1%
Net income	2,563,456	2,430,756	5.5%	3,410,850	3,390,062	0.6%	4,263,281	4,304,550	-1.0%
EPS (NT\$)	98.85	93.73	5.5%	131.52	130.72	0.6%	164.39	165.99	-1.0%
Gross margin	65.5%	63.7%	+1.9 ppt	64.6%	64.7%	-0.1 ppt	64.9%	65.6%	-0.7 ppt
Opex ratio	8.7%	8.9%	-0.2 ppt	8.8%	8.7%	+0.1 ppt	8.8%	8.7%	+0.1 ppt
Operating margin	56.8%	54.7%	+2.1 ppt	55.8%	56.0%	-0.1 ppt	56.1%	56.9%	-0.8 ppt
Net margin	48.8%	47.5%	+1.3 ppt	48.2%	48.8%	-0.5 ppt	48.7%	49.7%	-1.1 ppt

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Source: Citi Research

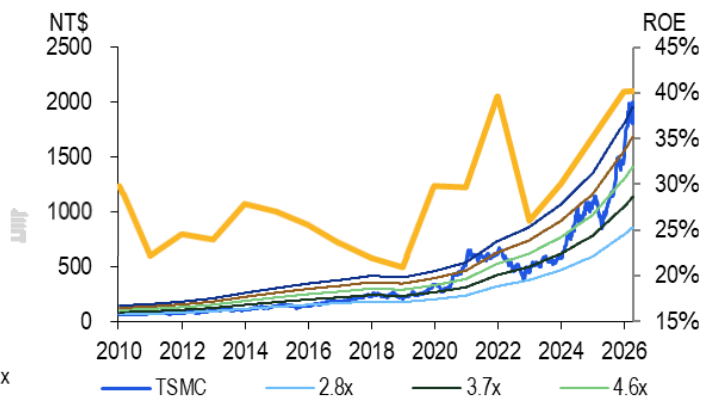
Figure 7. TSMC – Forward P/E band



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Source: Citi Research, company data

Figure 8. TSMC – Forward P/B band & ROE



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Source: Citi Research, company data

Figure 9. TSMC – Forecast Summary

	2025				2026				2027				2025	2026E	2027E	2028E
Unit: NT\$bn	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Revenue	839.3	933.8	989.9	1,046.1	1,134.1	1,239.6	1,361.7	1,518.0	1,681.4	1,768.2	1,818.1	1,803.7	3,809.1	5,253.5	7,071.3	8,762.2
COGS	-345.9	-386.4	-401.4	-394.1	-382.8	-412.0	-476.7	-539.6	-587.5	-623.0	-639.0	-655.6	-1,527.8	-1,811.2	-2,505.1	-3,075.7
Gross Profit	493.4	547.4	588.5	652.0	751.3	827.6	884.9	978.5	1,093.8	1,145.2	1,179.0	1,148.1	2,281.3	3,442.3	4,566.3	5,686.5
Operating Expense	-85.2	-84.5	-87.8	-88.2	-94.0	-111.6	-124.4	-129.0	-139.8	-155.6	-161.8	-162.3	-345.2	-457.4	-619.5	-768.3
SG&A expenses	-28.6	-23.2	-24.0	-23.3	-26.2	-34.7	-36.8	-38.0	-38.9	-49.5	-49.1	-45.1	-99.2	-135.7	-182.6	-226.4
R&D expenses	-56.5	-61.3	-63.7	-64.9	-67.8	-76.9	-87.7	-91.1	-100.9	-106.1	-112.7	-117.2	-246.4	-323.4	-436.9	-541.8
EBIT	407.1	463.4	500.7	564.9	659.0	716.0	760.5	849.4	954.0	989.6	1,017.2	985.8	1,936.1	2,984.9	3,946.7	4,918.2
Net Interest Income	19.8	20.3	21.3	24.8	23.8	22.9	25.3	27.9	34.5	38.5	41.6	45.6	86.2	99.9	160.2	215.1
Net Other Income	4.0	9.4	3.4	2.6	5.1	6.7	7.3	8.1	8.9	9.3	9.6	9.5	19.4	27.2	37.4	45.8
Pre Tax Profit	430.9	493.0	525.4	592.4	687.8	745.7	793.0	885.4	997.5	1,037.5	1,068.4	1,040.9	2,041.7	3,112.0	4,144.3	5,179.1
Tax Expense/(Credit)	70.2	95.5	73.6	86.9	115.0	149.1	134.8	150.5	169.6	207.5	181.6	177.0	-326.3	-549.5	-735.7	-918.6
Net Profit	361.6	398.3	452.3	505.7	572.5	596.9	658.7	735.4	828.4	830.5	887.4	864.5	1,717.9	2,563.5	3,410.8	4,263.3
EPS (NT\$)	13.94	15.36	17.44	19.50	22.08	23.02	25.40	28.36	31.95	32.02	34.22	33.34	66.24	98.85	131.52	164.39
Margins (%)																
Gross Margin	58.8	58.6	59.5	62.3	66.2	66.8	65.0	64.5	65.1	64.8	64.9	63.7	59.9	65.5	64.6	64.9
Operating Margin	48.5	49.6	50.6	54.0	58.1	57.8	55.8	56.0	56.7	56.0	56.0	54.7	50.8	56.8	55.8	56.1
Net Margin	43.1	42.7	45.7	48.3	50.5	48.2	48.4	48.4	49.3	47.0	48.8	47.9	45.1	48.8	48.2	48.7
Sequential Growth (%)																
Revenue	-3	11	6	6	8	9	10	11	11	5	3	-1	32	38	35	24
Gross Profit	-4	11	8	11	15	10	7	11	12	5	3	-3	40	51	33	25
EBIT	-4	14	8	13	17	9	6	12	12	4	3	-3	46	54	32	25
Net Profit	-4	10	14	12	13	4	10	12	13	0	7	-3	46	49	33	25
EPS	-4	10	14	12	13	4	10	12	13	0	7	-3	46	49	33	25

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Source: Citi Research, company data

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Short-Term View on TSMC (2330.TW)

Direction:	Upside
Duration:	Within 90 Days (expires 26 Jun 2026)
Date Added:	27 Mar 2026
Category:	Thematic driven

We are looking for a strong +30% sales CAGR growth for TSMC in the next three years, supported by secular AI demand growth and its technology leadership, ecosystem lock-in, advanced packaging capabilities, yield learning effects, and long-term customer trust.

订阅研报添加微信 LCD123321Cad 04-17

订阅研报添加微信 LCD123321Cad 04-17

Bull/Bear: TSMC (2330.TW)

NT\$3,000.00
▲44% Upside

NT\$2,875.00
▲38% Upside

NT\$1,800.00
▼14% Downside



Spread 58pp
Current Price and expected returns (upside/downside) as of 16 Apr 2026

BULL Assumptions

- Higher-than-expected utilization
- Stronger-than-expected margin expansion
- Bull case TP to be based on its upcycle valuation of 26x PER

BASE Assumptions

- Solid sales CAGR of >30% in 2025-2028E
- GPM to be maintained above 60% level

BEAR Assumptions

- Weaker-than-expected HPC demand globally
- Worse-than-expected margin contraction
- Bear case TP to be based on its valuation of 16x PER

TSMC

Company description

TSMC is the founder and leader of the dedicated IC foundry segment. The company has built its reputation by offering advanced and "more-than-Moore" wafer production processes and unparalleled manufacturing efficiency. From its inception in 1987, TSMC has consistently offered the foundry segment's leading technologies and TSMC-compatible design services.

Investment strategy

We rate TSMC shares as Buy. We expect TSMC to deliver sales growth of >30% in recent years thanks to strong growth from HPC/AI as well as stable demand growth from smartphone, IoT, and automotive on tech migration and a shortened replacement cycle. CPU outsourcing to TSMC offers further growth upside potential. A rising cash dividend should also support the share price. While TSMC has been increasing capex meaningfully since 2009, its cost structure is maintained through continuous product mix improvements, efficiency enhancements, and cost reductions.

Valuation

Our target price for TSMC shares of NT\$2,875 is based on 25x the average of our 2026-27E EPS, higher than its three-year average forward PER, versus global peers' average of 15-23x. We believe our PER target is justified by TSMC's leading position in advanced process node and robust AI demand growth outlook. Given its continuing leadership in the semiconductor foundry industry, we believe TSMC's stable order visibility and earnings outlook make it less vulnerable than peers to a potential global economic downturn. Our target price equates to 2026E/27E P/E of 29x/22x and 2026E/27E P/B of 10x/8x.

Risks

Key downside risks that could impede the shares from achieving our target price include: 1) weakness in the global semiconductor market; 2) larger-than-expected margin contractions due to depreciation cost hikes and strong NTD; 3) competitors entering the foundry business; 4) longer-than-expected digestion of inventory in the supply chain; and 5) a slowdown in demand either from a global economic downturn or a global trade disruption triggered by tariffs.

